

Goods and Services Tax (GST): The introduction of GST in July 2017 should increase tax compliance across the country as those who don't comply will find it difficult to get customers. Why? Because in the post-GST world, the buyer of any goods/service pays GST at the point of purchase and then gets an input tax credit when he (as a seller) reports his expenses. In such a world, if any buyer does not report his purchases, he fails to get the input tax credit and therefore ends up with a higher effective tax burden. Thus the GST creates a massive incentive for economic agents to avoid having any commercial dealings with tax evaders.

Consequently, since 2014, investors have become cautious of investing in residential real estate, leading to a stagnation or reduction in the prices of real estate across the top metropolitan cities.

Left with no better choices, affluent Indians are rediscovering the delights of the stock market. The annual run-rate of *gross* inflows from retail investors in India has risen from Rs 48,154 crore (US\$ 7.5bn) in FY14 to Rs 2.5 lakh crore (US\$ 39bn) in FY17, an annualized growth rate of 73 per cent. More generally, *net* inflows from retail investors to all types of mutual funds have risen from Rs 54,083 crore (US\$ 8.5bn) in FY14 to Rs 3.4 lakh crore (US\$ 53.7bn) in FY17, an annualized growth rate of 85 per cent.